

# The Synergy Reality Test

How much of your roll-up's synergy is durable — and how much will competition take back?

Separating real efficiency from fragile rent in buy-and-build.

---

**Margin going up is not the question.** In a buy-and-build, consolidating the market *always* lifts pricing power — so a synergy model that shows margins rising proves nothing. The total rent in a market is conserved; consolidation only **moves it from the pool competition was eroding into the pool you now protect**. A roll-up **captures** rent — it does not create it. The synergy is real only to the extent it is **durable**. The Synergy Reality Test tells you how much of it is.

## What it answers

1. **Durable or fragile?** Of the projected synergy, how much is **Durable** — genuine efficiency you recaptured, which sticks — versus **Fragile**: margin gained simply by having fewer competitors, which a new entrant can undo and which draws antitrust scrutiny?
2. **How far can you consolidate?** Where is the **natural floor** — the free-entry level of players below which the extra margin sits above what entry will tolerate, and gets competed back away?

## How it works

**Capture, not creation.** The total economic rent in a market is conserved; consolidation only moves it between two pools — the rent competition is dissipating, and the rent you protect. A roll-up shifts rent from the first into the second; the total is unchanged. That reframes “synergy” as a split, not a sum:

- **Durable share — efficiency recaptured.** Competition wastes resources (duplicated overhead, value-destroying price wars). Consolidating eliminates that waste — a genuine, lasting gain that takes nothing from anyone.
- **Fragile share — competition-reduction rent.** The rest is margin you earn purely by being one of fewer players. It is a transfer from customers, it invites new entrants, and it is the part antitrust cares about. It does not last.

**The natural floor.** Every market has a free-entry number of players, set by how costly it is to enter and how differentiated the product is. Consolidate *to* that number and the gains are durable; push *below* it and the extra margin rises above what entry tolerates and gets competed back. There is a markup entry cannot erode — the durable ceiling on what consolidation can hold.

## Why you can trust it — and what it won't tell you

**What's rigorous:** the test rests on the same conservation backbone as the Value-Creation Bridge — because total rent is conserved, captured rent splits into durable and fragile with no overlap and no residual, and the natural floor is the market's free-entry level, a formal result rather than a rule of thumb. **The split arithmetic and the free-entry-floor formula are exact and self-checking** — you can verify them on the page; the mechanics, not the inputs.

**What it deliberately does *not* claim:** it is **not** an “optimal number of acquisitions” calculator. On its own the geometry says “consolidate fully or not at all”; a real stopping point depends on integration

costs and antitrust risk, which we factor in as *explicit, stated* inputs — not something the math decides for you. And it gives the durable *level*, not the *speed* at which fragile rent erodes; how fast entry arrives is a judgment we flag, never a number we invent.

## What we need / what you get

| Inputs (from you, stated as assumptions)                                                                                                       | Outputs (from us)                                                                                                                                                                |
|------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| An estimate of the durable share (genuine efficiency vs. competition reduction); entry cost and product differentiation; antitrust thresholds. | The synergy split into durable vs. fragile; the free-entry floor and durable markup; a “price-on-the-durable-number” verdict; and a flag on which acquisitions buy fragile rent. |

## Worked example (illustrative)

A platform in a fragmented market of **6 competitors** pitches a buy-and-build to consolidate to **3**, projecting **\$60M** of annual EBITDA synergy — which, in full, is rent the consolidation *captures*. The Test runs two checks.

**Check 1 — of the \$60M, how much is durable?** We estimate the durable share at **60%** — genuine cost/efficiency recapture rather than pure competition reduction — and apply it to the captured \$60M:

| Projected synergy                              | \$M       | Character                |
|------------------------------------------------|-----------|--------------------------|
| Efficiency genuinely recaptured (durable, 60%) | 36        | <b>Durable</b> — sticks  |
| Competition-reduction rent (40%)               | 24        | <b>Fragile</b> — reverts |
| <b>Headline synergy</b>                        | <b>60</b> |                          |

**Check 2 — how far can you consolidate before it’s fragile?** The market’s free-entry floor works out to **4 players**, with an entry-proof markup entry cannot erode below:

| Consolidation step | Character                                                                                 |
|--------------------|-------------------------------------------------------------------------------------------|
| 6 → 4 players      | <b>Durable</b> — consolidating down to the natural floor                                  |
| 4 → 3 players      | <b>Fragile</b> — one step below the floor; entry restores ~4 and competes the margin away |

The figures are the exact decomposition, with no residual. *Check 1:* with a durable share  $\rho = 0.60$  on the captured \$60M, the durable part is  $\rho \times 60 = 36$  and the fragile part  $(1 - \rho) \times 60 = 24$  (\$M), reconciling to \$60M. *Check 2* is structural — not a second dollar deduction: the natural floor is the free-entry count  $n^* = \sqrt{t/f} = \sqrt{20/1.25} = 4$  players (differentiation  $t$  and entry cost  $f$  taken as \$20M and \$1.25M), at which the entry-proof markup is  $\sqrt{tf} = 5$  (\$M) and durable concentration is  $1/n^* = \sqrt{f/t} = 0.25$ . The two checks are complementary lenses on the same fragile rent — the  $\rho$ -split sizes it in dollars, the floor locates it in the deal sequence — and are never added.

**So what.** The \$60M pitch is really **\$36M of durable synergy**. The other **\$24M is fragile** — competition-reduction rent that entry and antitrust will erode. Check 2 locates it: the last acquisition (4→3) pushes below the natural 4-player floor, so its margin sits above the level entry tolerates. **Price the platform on the durable \$36M, not the headline \$60M; treat 4 players as the natural floor; and recognize the last deal buys rent that reverts.** If you still pursue it, do so with eyes open — and budget for the entry and antitrust response.

**Assumptions — stated, because that is the point.** The durable share (60%) is your estimate of real efficiency versus competition reduction; the natural floor (4 players) follows from the market’s entry cost and differentiation; reversion is treated as eventual, with timing flagged as a judgment, not modeled. The split arithmetic and the free-entry-floor formula are fixed; the inputs are yours — change any and the test updates transparently. The rigor is exactly as good as the assumptions, and the assumptions are visible.

---

*Companion to “The Value-Creation Bridge.” Draft methodology concept prepared by the ENT 105 team for Creo Advisors. Figures are illustrative. The durable/fragile split and the free-entry floor are grounded in conservation-based accounting; the durable share, entry cost, differentiation, antitrust thresholds, and reversion timing are client-specific inputs set at the engagement’s scoping stage.*